Peace of Augsburg is proof of freedom of religion *within* the Christian fold with each State/principality within the empire claiming for itself a State denomination of Christianity, namely either Roman Catholicism or Lutheranism.

However, matters precipitated when in 1608, the Protestant Union was set up after the Imperial Diet, the deliberative body of the Holy Roman Empire, failed to formally confirm the Peace of Augsburg. In response to the Protestant Union, the Catholic League was formed in 1609, gradually moving towards a large-scale European conflagration, namely the Thirty Years' War, with Christian denominational freedom at the heart of the conflict, among other things. The commencement of the war is traced to 1618, which ended in 1648 with the signing of the Peace of Westphalia.[16] The salient terms of the Peace of Westphalia, which are relevant for our discussion, are as follows:

1. The Peace of Augsburg of 1555 along with the principle of *Cuius regio, eius religio* was recognised, strengthening the concept of religion-defined State sovereignty, with a defined territory having an official Christian denomination being identified as the realm of a particular State over which princes/rulers held dominion. Thenceforth, princes would have the right to determine the official Christian denomination of their States without interference from the Roman Catholic Church or what remained of the Holy Roman Empire after the war. What needs to be appreciated is that the Peace of Westphalia did not result in the creation of 'secular' sovereign States as we understand them today, that is, States without an official religion. On the contrary, the war itself was fought for the right to have an official State religion, more specifically, to choose a State denomination within the Christian religion without having to dance to the writ of the Roman Catholic Church;
2. These sovereign States had exclusive rights over their subjects on both secular and religious matters without having to suffer the interference of the empire or other sovereign States. This allowed them to levy taxes and raise armies of their own, which became a priority, especially after the experience of the Thirty Years' War, notwithstanding the precedent of diplomatic negotiations to resolve disputes and conflicts set by the Peace of Westphalia. In short, the importance of preservation of the balance of power was understood.